Technische Universität München · TUM School of Management

Innovation Behind the Veto

How Bosnia and Herzegovina's Political Elites Orchestrate Resistance to Technological and Administrative Modernization

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1 Introduction

In February 2013, Bosnia and Herzegovina witnessed a lapse in the legal foundation for its unique citizen identification numbers (JMBG). The Constitutional Court struck down a single provision that failed to reflect the post-war renaming of municipalities in Republika Srpska (RS). Parliament was given six months to revise the legislation. However, this deadline was allowed to pass (Karahodžić, 2014). The resulting humanitarian and legal vacuum centered around children and life-saving medical procedures. Newborns could no longer be issued the identification numbers required for passports and health documentation. Consequently, critically ill infants were unable to travel abroad for treatment that was unavailable in Bosnia. The case of Belmina Ibrišević, a three-month-old denied travel documents for medical travel to an organ transplant clinic in Germany, and the death of another infant, whose medical travel was also blocked, was the final straw. Ten thousand Bosnian citizens flooded the streets of Sarajevo in protests that came to be known as the "Bebolucija," or "Baby Revolution".

The technology at the heart of these tensions was neither novel nor demanding, making it an analytically significant case. A unique citizen identifier is one of the most basic instruments of a modern administrative state. Bosnia could have operated such a system for roughly two decades. Seemingly, the two-year gap cannot be explained by a technical capacity shortcoming or lack of knowledge. This paper will argue that it was a political choice. The JMBG crisis was not an isolated occurrence but part of a systematic pattern. Bosnia has persistently failed to modernize and digitize its state administration, including interoperable public registries and transparent procurement processes.

This pattern is traditionally attributed to ethnic fragmentation or to the institutional weakness brought on by the 1995 Dayton Agreement. This paper argues that causation runs in the opposite direction. Bosnia's political elites are not passive victims stuck in a dysfunctional system, rather, they are active architects. This leads to the central question asked in this paper, "how do Bosnia and Herzegovina's political elites strategically deploy a heterogenous "chorus of losers" to block technological and administrative modernization, and to what extent does the EU accession process reinforce rather than dissolve this blocking equilibrium."

Advancing two arguments, this paper argues that political elites sustain Bosnia's anti-modernization equilibrium through an orchestrated "chorus of losers". This constellation is

more stable than organically formed coalitions described by current blocking-equilibrium models (Bénabou et al., 2015), because it is deliberately orchestrated and recruits an additional ethnic-cultural cleavage that they do not treat. The second argument is that EU accession conditionality has deepened that equilibrium because the required reforms threaten elite patronage networks. The shift from external enforcement to soft conditionality supplies elites with a performative-compliance narrative that legitimizes inaction.

The remainder of this paper proceeds as follows. Section 2 further develops the theoretical framework, extending Bénabou et al.'s (2015) blocking-equilibrium model from organically formed to orchestrated coalitions. Section 3 lays out the institutional background. Section 4 presents a paired case comparison of ITA/VAT centralization and the JMBG/digital-governance. Sections 5 and 6 will discuss findings and conclude, respectively.

2 Theoretical Framework

This section develops the theoretical framework in four steps. First, this paper will examine both Taylor's typology of losers created by innovation and the consequential "chorus" mechanism. Then, I will introduce Bénabou, Ticchi, and Vindigni's (2015) blocking equilibrium model. Leading into the core argument, I will synthesize these concepts in an extension of Bénabou et al. (2015) and provide my principal theoretical contribution. Finally, after introducing the concepts of Mokyr, Vickers, and Ziebarth (2015), I will evaluate their skepticism about the durability of resistance as a scope condition rather than a refutation.

2.1 The "chorus of losers": Taylor's Typology

Providing this paper's foundational vocabulary, Taylor's (2016) main argument is that resistance to science and technology (S&T) is driven by the distributive consequences of innovation, which create identifiable "losers," defined as groups of actors made worse off by any specific innovation. Taylor further distinguishes between four types. Economic losers are asset holders whose value is eroded by new technologies. Social losers are harmed by the reorganization of status or capabilities across social groups brought on by new innovations. Cultural losers resist change that challenges normative or strongly held ethical values. Finally, political losers are those whose power and legitimacy are threatened by technological change (Taylor, 2016). Political elites primarily control fiscal and regulatory instruments that regulate

the status quo, putting them in a pivotal position relative to any act of resistance (Acemoglu and Robinson, 2000).

These four silos seldom operate individually. Taylor's coalitional mechanism describes how objections from each group combine into a single struggle. Groups too weak to obstruct innovation independently succeed by this symbiosis of resistance. For Taylor, distinctly, the resulting "chorus" is organic. Losers arise from a given technology's distributive nature, with elite actors responding to the pressure of their constituents. According to Taylor, if these losers opt to resist, their political leaders tend to support them. Although this paper adopts the typology and coalitional logic, it will interrogate this assumed causal direction.

2.2 The Blocking Equilibrium: Bénabou, Ticchi, and Vindigni

Building on Taylor's typology, Bénabou et al. (2015) provide a formal model which looks at how resistance becomes self-sustaining. In *Forbidden Fruits,* they model a society characterized by two-dimensional heterogeneity. The population differs in two dimensions, income and belief system. Pitting the rich versus the poor and the religious versus the secular yields four groups that compete over policy. Under the correct conditions, these groups, which fall under Taylor's "cultural losers," form a blocking coalition that suppresses innovation that threatens the prevailing belief system. This leads to an equilibrium in which low innovation and belief-reinforcing institutions mutually sustain each other.

Two important features help bridge the extrapolation of this model. First, according to Bénabou et al. (2015), the formation of the coalition is endogenous and organic. In other words, which groups combine to block innovation, and when they do so, depends on the distribution of income and beliefs and the surrounding inequality dynamics. Second, the model's central causal claim, that blocking of innovation and belief systems reinforce one another, is better observed in the theoretical model rather than in the empirical regression findings. Bénabou et al thus provide the equilibrium definition adopted by this paper. Resistance persists through a mutual stabilization of interests rather than through a single decisive act.

2.3 Extending the Model: Orchestration and a Third Dimension

As noted, the theoretical contribution of this paper is ultimately an extension of Bénabou et al.'s (2015) framework. The contribution is developed as a case study of Bosnia, but is intended to

expand to comparable post-conflict, elite-dominated states. It is not a move from a single-group to a multiple-group account. Instead, the novelty comes from elsewhere.

First, this paper adds a third dimension, not previously explored. Bosnia's blocking equilibrium is not neatly captured by Bénabou's economic and belief dimensions because its most politically salient division is ethnic-national. Consequently, the third dimension is an ethnic-cultural cleavage, mobilized by ethnic-cultural opportunists and economic incumbents whose asset values depend on an unreformed status quo. The distinct block resource supplied is the capacity to reframe a technical or administrative question or innovation as an existential ethnic threat.

Second, and more fundamentally, the logic of coalition formation shifts from an organic onset to an orchestrated event. In both Taylor (2016) and Bénabou et al. (2015), losers exist prior to the coalition. Their combination responds to the fact that a threat is perceived as shared. This paper argues that, in Bosnia, the causal direction is reversed. The political elites and decision-makers are the primary political losers of administrative and technological modernization (Taylor, 2016; Acemoglu and Robinson, 2000). Rather than simply responding to a "chorus of losers", they strategically activate economic incumbents and ethnic-cultural entrepreneurs as auxiliary blocking resources. In other words, the coalition is engineered rather than emerging naturally, with the elites acting as its conductor rather than as one voice among many. From here, the central hypothesis is derived as a deliberately orchestrated, three-pronged coalition should prove structurally more resilient than an organically formed one, precisely because no single external shock can dislodge all of its heterogeneous components at once.

2.4 Scope Condition: Mokyr

Mokyr, Vickers, and Ziebarth (2015) doubt that resistance succeeds in the long run. Naturally, a framework anchored in the durability of resistance must answer such skepticism. Mokyr et al. argue that no society has blocked technology indefinitely. This is because competition at any level compels actors to adopt innovation or fall behind rivals (Mokyr et al. 2015, pp. 35, 47), a dynamic termed Cardwell's Law (Mokyr 1990). To address such staunch criticism, this paper does not refute their arguments but rather engages it as a scope condition. Their optimism presupposes a competitive inter-state system that punishes idlers and rewards adopters of innovation. The argument advanced here is that this corrective mechanism is effectively switched off in the Bosnian use case.

3 Institutional Background

3.1 The Consociational Architecture

Dayton, Ohio, provided the backdrop that made elite orchestration a possibility. The General Framework Agreement for Peace (1995) created Bosnia and Herzegovina (BiH) as an independent state. Annex 4 serves as the constitution, creating a consociational democracy built on four pillars: grand coalition, mutual veto, proportionality, and segmental autonomy (Lijphart, 1977). The resulting institutional map is convoluted. There are two overarching entities, the Federation of Bosnia and Herzegovina (FBiH) and Republika Srpska (RS), and a self-governing third entity, the Brčko District. FBiH, itself, is subdivided into 10 cantons. The three constituent groups of Bosniaks, Croats, and Serbs are guaranteed representation through a tripartite Presidency and a bicameral Parliamentary Assembly. A "vital national interest" veto and entity voting requirements allow any single segment to paralyze state-level decision-making.

This design matters for the paper's argument because it multiplies veto points and devolves substantive authority to entity- and cantonal-level elites. State-level administrative and technological modernization, such as consolidating registers, revenue systems, and digital infrastructure, draws competences upward. This threatens the very officeholders whose power base is entity- and cantonal-based. As discussed in Section 2, this makes entity- and cantonal-level politicians "political losers" in state modernization. Their losses are structural rather than incidental because centralizing administrative and technological capacity subtracts power from the entity and cantonal tiers, so reform threatens these elites by design, not through poor execution that could be corrected. At the stage where orchestration occurs, the architecture enables the equilibrium rather than causing it. The logical next question is what converts a formal veto power into commonplace blocking capacity. The answer is patronage through ethnic party dominance over subnational public employment (Kapidžić, 2020; Tanaka, 2025). Through this tunnel, veto rights are exercised as a regular obstruction, which this paper examines through a paired case comparison.

3.2 From OHR Imposition to EU Conditionality

The second instrumental component needed for the case study evaluation, regarding institutional background, is how external enforcement of reform in Bosnia has changed over time. Under the Office of the High Representative (OHR), the High Representative could impose legislation and

remove obstructive officials. This authority came directly from the "Bonn powers," which the Peace Implementation Council conferred in December 1997. Together, these powers amounted to a regime of hard external enforcement. Under this authority, the High Representative imposed state-level reforms despite entity resistance. One such reform was centralizing indirect taxation and value-added tax. The High Representative's decision, on the 12th of February 2003, established the Indirect Tax Policy Commission (OHR, 2003; Tesche, 2005). This decision mandated a single customs administration and a state-wide value-added tax that domestic elites had declined to legislate.

From around 2006, the OHR's interventionism wound down. The primary external level then became the European Union accession process, which operated through conditionality and incentives rather than through imposition. This process ran first through the Stabilization and Association Agreement, and, from December 2022, through candidate status. Merdžanović (2015, 2017) frames this shift from imposition to conditionality as a move from guardianship toward nominal local ownership. According to this account, international actors retreat to the role of a trustee, and formal sovereignty returns to domestic elites. This transition from hard to soft enforcement supplies the paper's decisive variable of the credibility of external enforcement. The transition also operationalizes the scope condition drawn from Mokyr et al. (2015). In principle, EU accession is the disciplining mechanism that is tasked with correcting entrenched resistance. The paired cases are designed to investigate whether EU accession is neutralized or functions as such a corrective.

4 The Orchestrated Chorus: Evidence from Bosnia

Previously, this paper identified the credibility of external enforcement as the decisive variable that separates a movable blocking equilibrium from a static one. Patronage as evidence, viewed through a paired comparison of the economic incumbent and ethnic cultural entrepreneurs within the orchestrated chorus, is elaborated by process tracing (George and Bennett, 2005). Holding the elite incentive structure roughly constant, the design will be a cross-time, within-country comparison. The enforcement regime varies from the hard Bonn Powers imposition of the Office of the High Representative to the soft conditionality of the EU accession process. If outcomes diverge as the enforcement regimes change while the coalition and its veto instruments remain in place, the comparison isolates enforcement credibility as the load-bearing

causal variable, rather than the size or heterogeneity of the coalition. This paper advances that inference as a conditional claim rather than a settled verdict, and selects the two cases to test it.

4.1 Counterfactual: When Hard Enforcement Breaks Resistance

The first case is a state-level reform in which the blocking coalition, operating through the same veto architecture, could not prevent it because a credible external enforcer imposed it; thus, a counterfactual success. Before 2003, entities administered indirect taxation, with each entity running its own customs and revenue operations. This arrangement gave the entities a pillar of fiscal autonomy. Rather than a technical inconvenience, fiscal autonomy provided the resource on which entity-level patronage was built. The control of revenue collection sustains the public employment and procurement networks through which political elites and allied economic incumbents distribute rents (Kapidžić, 2020; Tanaka, 2025). Centralizing indirect taxation at the state level directly threatened the competence that entity elites used for political leverage. By definition, they were political losers of administrative modernization and resisted accordingly.

Reform proceeded, regardless. The OHR recalled the Bonn Powers, conferred at the December 1997 Peace Implementation Council. In the Office's Decision Establishing the Indirect Tax Policy Commission of the 12th of February 2003, a single customs administration was mandated. In practice, this meant creating a state-wide value-added tax (VAT) and a unified Indirect Taxation Administration for collection purposes (OHR, 2003). Operationalizing these tools and creating a single state account for indirect revenue consolidated collection and narrowed the discretion over which entity-level rent distribution depended on. The analytically important component of this case is its enforcement. The Commission was not a public forum, so entity vetoes could not be negotiated away in a cultural colloquium. Instead, it established a standing threat: obstruction would result in removing responsible officials and imposing further legislation. These instruments were highly effective and used often (Merdžanović, 2015). Tracing the process gives us a clearly defined mechanism in which entity resistance is present and overridden. It was overridden not by a dissolution of the coalition but by the credibility of the sanction facing each individual officeholder who might have exercised their veto.

This shows that the blocking equilibrium is not immovable. The coalition of political elites and economic incumbents was fully in place in 2003. The consociational vetoes were undiminished; however, the reform proceeded despite directly subtracting competence from the entities. What

sets this case apart from those to follow is not that there were fewer "losers" or that they were less heterogeneous, of which they were neither, but that the external enforcer could credibly impose. Thus, this case works as the counterfactual for the two cases that follow. It shows what the same coalition does when the enforcement variable is engaged.

4.2 The Orchestrated Chorus in Action: JMBG and Digital Governance Stagnation

The following cases belong to an era of soft conditionality, characterized by the winding down of OHR interventionism and the EU accession process becoming the primary external level. In both cases, the equilibrium restabilizes after shifting due to the 2003 reform. The first case centers on a single administrative artifact, while the second spans the entire digital governance agenda.

4.2.1 The JMBG Crisis: Anatomy of a Manufactured Block

The *jedinstveni matični broj građana* (JMBG), the unique citizen registration number, is a basic example of administrative modernization infrastructure. Like Germany's *Sozialversicherungs-nummer*, the JMBG links a person to a registry the state uses to issue various documents. In 2013, a paralyzing dispute centered on this basic governmental tool ensued. The Constitutional Court found the governing Law on the Personal Identification Number inconsistent with the rule of law, and Parliament failed to enact a replacement (Karahodžić, 2014). This dispute was symbolic, rather than administrative. The number encodes the region in which a citizen is registered, and no agreement emerged on how that territorial coding should map onto the entities. What should be a purely technical question, how to represent a place of registration in a string of digits, was recast as a matter of ethnic territorial principle.

The most consequential effects were those felt by newborns. With no valid law in force, officials could not issue infants JMBG numbers. This meant that they could not be given passports and, without passports, could not be taken abroad for urgent medical treatment unavailable at home. This administrative barrier blocked the movement of sick children. Belmina Ibrišević, a sick infant requiring treatment in Germany, became one of the faces of protests known as *Bebolucija,* or "baby revolution". Triggered by public anger in June 2013, the protests were a rare instance of cross-ethnic civic mobilization that led citizens to surround the Parliament building and call

for civil disobedience. During the crisis, another affected infant, Berina Hamidović, died in Belgrade after international treatment was delayed (Euronews, 2013).

The orchestration is the most legible, at this point, and leads to the inversion of Taylor's concepts. The territorial coding dispute was not a cultural grievance that lingered from years of civil war and unrest, to which the elites responded. In fact, it was a manufactured block. The numerical digits of an identity number carry no inherent ethnic meaning until political actors instill one in them. Ethnic-cultural entrepreneurs sustained the dispute by questioning whether registration coding threatened entity identity and mobilizing cultural-loser grievances that could not have been created solely on economic or political grounds. As conductors, political elites utilized their institutional veto to block any replacement law from passing. This served two purposes. Keeping an ethnic-territorial threat prominent in the face of the population keeps the wider veto system primed. A quarrel over identity numbers reinforces the exact cleavage on which every other block depends. Less visible, economic incumbents also played a role. A functioning, centralized registry would have made patronage networks traceable, giving them an interest in keeping fragmentation alive (Tanaka, 2025; Kapidžić, 2020).

Read against the 2003 reform, the episode shows the effect of the missing enforcer. The pressure on the coalition was extreme. Humanitarian stakes were acute, mobilization was sustained, and, unusually, it cut across the very ethnic lines the block was meant to control. That being said, no external actor has imposed a resolution as the OHR had in 2003. Only after the equilibrium stomached the shock was a legislative patch implemented. The block was not broken apart from the outside, rather allowed to subside from within. Even a coalition under this much strain remained intact because, this paper argues, no credible challenge could compel it to yield.

4.2.2 The Broader Pattern: Digital Governance Since EU Candidacy

The JMBG crisis, just described, blocked a single artifact of innovation. After 2022, the same blocking logic is no longer an isolated episode but a permanent condition. Bosnia and Herzegovina received EU candidate status on 15 December 2022, with accession negotiations opening in March 2024. Candidate status carried with it conditionality that demands public administration and digital governance reform. In other words, unifying and making the fragmented registries and IT systems into an entity-based architecture that is interoperable was a requirement for BiH to join the European Union. This innovation most directly threatens the

patronage networks discussed, and it is the platform that allows direct testing of the enforcement credibility hypothesis. The hypothesis anticipates performative compliance. Elites adopt reform legislation on paper while leaving the structural block active. Finally, the accession framework provides the narrative that legitimizes this gap.

This expectation is held true based on the available evidence. The European Commission's 2024 report cites public administration reform at roughly 16%, while IT and data systems remain fragmented across different tiers of government (European Commission, 2024). The figure reflects the cumulative yield of a formally adopted agenda that has substantively stalled, rather than a snapshot of reform in progress. According to the report, this fragmentation keeps administrative processes illegible enough to remain useful to patronage. The European Parliament's 2025 report provides a classic signature of compliance that is legislative in form but hollow in substance. The report registers a stalled reform dynamic, with adopted laws suffering from inadequate implementation and enforcement (European Parliament, 2025). That said, the standstill is not evenly distributed. The institutional blockage in Republika Srpska resulted in a near-total halt in reform through 2021 and 2022 (European Commission, 2022). Viewed in parallel, both reports describe reform as a performative ritual of transposition without the substance of implementation, rather than as reform that was attempted and defeated. López Domènech (2026) furthers this conclusion by locating the specific stagnation on both sides of the accession relationship. Domestic elites capture the state and turn the reform process into a cover for inaction. Moreover, the EU's own conditionality provides the framework for this. The block is not simply imposed from within in, but rather externally enabled.

This is where Mokyr's skepticism takes hold. Previously, this paper accepted Cardwell's Law as the proposition that resistance to technological innovation ultimately fails because inter-state competition disciplines the slacker (Mokyr, 1990). It treated the Law as a scope condition rather than a refutation. This disciplining mechanism only bites where it is switched on. As the external competitive pressure that should force convergence, the accession process is precisely the mechanism Mokyr's logic expects would discipline Bosnia's administration. The enforcement-credibility hypothesis holds that this corrective has been neutralized rather than activated. The OHR's 2003 enforcement carried immediate, personal consequences for the officials who obstructed it. Soft conditionality, alternatively, offers only a distant and uncertain membership

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reward and no proximate sanction. This means it can be satisfied performatively. On the paper's argument, the disciplining mechanism has been turned against its own purpose by sustaining the very equilibrium it was meant to dissolve. This is the 2003 reform in reverse, with the enforcement variable switched off.

When combined, the three episodes vary the enforcement regime while holding the coalition and the consociational architecture roughly constant. The outcomes track that variation rather than any change in the losers themselves. These cases point toward one conclusion. What moves the outcome is the credibility of external enforcement and not the heterogeneity of the blocking coalition. This paper offers it as an inference the comparison supports, not as a verdict the comparison can settle on its own. That inference remains to be developed as a refinement of Taylor's framework, and weighed against the objection that three episodes in one country are too thin a base to carry it.

5 Discussion

5.1 Enforcement Credibility as the Key Variable

The paired comparison developed previously is designed to isolate a single variable by holding the blocking coalition roughly constant while the enforcement environment changes. In both cases, a "chorus of losers" was present and, as argued in this paper, both choruses were assembled deliberately. Each coalition brought together the same three actor archetypes. Political elites and officials were themselves the main political losers of reform. Economic incumbents depended on a fragmented system for their economic rents. Finally, ethnic-cultural entrepreneurs were ready to reframe an administrative tool as a threat to group identity. If the coalition's makeup were a driving force, both episodes should have ended the same way. They did not. The 2003 ITA/VAT reform was carried through while the JMBG crisis and the stagnation of digital governance after 2022 allowed the blocking equilibrium to reassert itself. Consequently, rather than the "chorus of losers" setting these cases apart, the credibility of the external enforcement mechanism made the key difference. Under the OHR Bonn powers, refusing to comply brought direct, personal consequences for the officials responsible for blocking. This meant that reform went ahead despite the losers it created. Under soft EU conditionality, the reward of EU accession is delayed gratification and theoretically arrives so

late that, in practice, it carried no real conditions. This allowed the same coalition to rebuild the block at little cost and satisfy the reform agenda through performative compliance.

This inference refines Taylor's (2016) framework rather than displacing it. Taylor directs attention to the "chorus of losers" and to whether political elites throw their weight behind resistance. This comparison suggests that the variable ultimately governing whether resistance holds is not the size or heterogeneity of that coalition. Instead, it is the credibility of the enforcement it faces. That inversion matters because it shifts where the outcome is decided. Instead of being decided by any feature of the resisters, which can often be hard to alter, it depends on the strength of external enforcement, a matter of institutional design. While two episodes cannot decide a causal claim, they can indicate where the decisive leverage lies. The elite-capture dynamic, identified by other accounts of Bosnian integration (Šiljak and Nielsen, 2023), operates only as freely as the external enforcement permits.

5.2 The Theoretical Contribution

This paper's theoretical contribution refines Bénabou, Ticchi, and Vindigni's (2015) model of blocking equilibria along two specific dimensions. Notably, neither dimension is reduced to the observation that a coalition is heterogeneous. Bénabou et al.'s framework includes four groups spread across an economic and religious fault line, meaning heterogeneity is already built into their model, and this paper does not contest the stability of the equilibria their model produces. The first refinement concerns how the coalition forms. In their model, it emerges on its own from the underlying spread of interests and beliefs. In Bosnia, it is orchestrated. In other words, political elites deliberately built and held it together, acting as conductors. This difference is not cosmetic. An orchestrated coalition can be actively re-coordinated when a shock threatens one of its parts. A naturally formed coalition must wait for member-group interests to realign, which is much slower. The additional stability identified in this paper stems from the conductor function. When the JMBG dispute risks being interpreted as a solely technical matter, the same elites who hold the institutional veto power could manipulate the narrative, pushing it to be perceived as an ethnic threat. This held the coalition together through a shock that should have otherwise dissolved it. The coalition's stability therefore comes from elite action rather than any fixed structural feature. It holds for as long as the conductors keep veto power and their ability to manufacture the narratives that bind the coalition together.

The second refinement further adds an ethnic-cultural fault line, which is missing from Bénabou et al.'s two-dimensional economic and religious framework. As discussed previously, orchestration such as this depends on institutional veto power and the ability to manufacture cultural-loser narratives. Bosnia's consociational structure gives society's elites this combination. Therefore, Bosnia should be read as an extreme case that makes the general mechanism easier to see, rather than being discounted as a coincidental occurrence. Essentially, this is all to say that, wherever elite actors hold both veto power and the means to fabricate cultural grievances, an orchestrated "chorus of losers" becomes possible. The model developed in this paper sets out the conditions under which it can be expected to appear.

5.3 Where Mokyr's Skepticism Does and Does Not Hold

Mokyr's (1990) account, a scope condition through Cardwell's Law, holds that lasting resistance to technological and administrative progress is rare in history because it defeats itself in competition. A state that holds back modernization and innovation is eventually overtaken by rivals that do not. This happens because many states compete at once, so the front line keeps moving forward while any single society's burst of creativity proves brief. The skepticism is well founded where that competitive discipline operates. This paper does not claim that Mokyr is wrong. Instead, it claims that Bosnia falls within the specific scope condition where his optimism no longer holds.

The condition that suspends Mokyr's optimism is the absence of competitive pressure. Bosnia is a single consociational state and has no domestic technological competitor. Its external sponsor is committed to eventual EU membership largely regardless of how fast reform proceeds (López Domènech, 2026). Combined, these create the accession floor. This is not weak enforcement. It is a testament to the fact that the costs, normally imposed on a state by Cardwell's Law, that lag in innovation are never truly imposed. A competing jurisdiction would discipline a blocking coalition by outperforming it. However, in Bosnia, elites lack such a rival, allowing the accession process to deliver its reward whether they reform or not. Therefore, the wider lesson becomes a limit on Mokyr's claim rather than a stark rejection of it. His expectation that resistance will not survive holds where states compete against one another. It fails when an external sponsor removes the stakes of that competition. This generalizes the mechanism traced in the digital-governance case because the point is not what Bosnia's elites did, but rather the

condition that made doing it cost them nothing. It also shows how to find similar exceptions, specifically in any state where an external patron secures survival independently of reform.

6 Conclusion

This paper has argued that Bosnia and Herzegovina's resistance to technological and administrative modernization is best understood as a blocking equilibrium sustained by an orchestrated "chorus of losers". The country's political elites, the primary political losers of modernization, do not merely benefit from a coalition that materializes. In fact, they assemble and maintain one by organizing two further groups of losers, economic incumbents and ethnic-cultural entrepreneurs, and directing this coalition themselves. Bénabou et al.'s (2015) model is extended by this orchestrated formation coupled with the third ethnic-cultural fault line, not contained in their two-dimensional economic and religious framing. The authors already include the basic heterogeneous coalition. The paired comparison then points to the decisive variable planted outside the coalition itself. Whether the blocking equilibrium moves depends on the credibility of the external enforcement. This enforcement was credible and consequential under the OHR Bonn powers. However, it was also distant and largely unenforced under EU conditionality, meaning accession reinforced the very equilibrium it was expected to dissolve.

These claims face two primary limitations. Process tracing (George and Bennett, 2005) yields close causal inference within the episodes examined. However, it does not, on its own, license generalizing the findings beyond Bosnian borders without further comparative work. Second, the platform of digital governance stagnation rests primarily on European Commission and European Parliament primary sources rather than on peer-reviewed literature on Bosnian digital government. While the evidence direction is clear, the literature and its independent scholarly corroboration remain limited.

Policy implications follow from the enforcement-credibility argument. The distant rewards and uncertain timelines of soft conditionality are insufficient against elite actors whose patronage is threatened by the demanded reform. Looking onward, there are two strategies. Either the accession timeline is near and believable, or each reform step carries immediate consequences for the specific officeholders responsible for obstruction. The latter would, in theory, reproduce the enforcement logic under which the 2003 reform succeeded. The important distinction is

between pressure that lands on the state and pressure that lands on the officeholder, because only the latter reaches the person whose direct veto sustains the block.

Finally, the extension developed in this paper, through the concept of orchestrated coalitions and a third ethnic-cultural fault line, invites comparative testing across Western Balkan states whose EU trajectories and loser-group compositions differ. Serbia, North Macedonia, and Montenegro each combine an accession path with a distinctive coalitional structure. A comparative design of this kind would show how far the mechanism traced in this paper extends beyond this single case. In particular, it would show whether the accession floor operates anywhere that soft conditionality meets an entrenched incumbent coalition, or only under Bosnia's specific consociational configuration. More broadly, the case suggests that the politics of innovation in capture states cannot be read from the strength of reform-demand responses alone. It turns, instead, on whether those demands are backed by consequences that reach the individuals with the power to refuse them.

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